Until we are all equal

Participatory Climate Risk and Vulnerability Assessment for Gender Responsive Climate Adaptation and Preparedness Plans (GRAPP) in Kwale and Kilifi Counties

Mapping of existing national and county climate, risk reduction and preparedness funding mechanisms and opportunities

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Executive Summary

Kenya has made significant progress in developing frameworks to mobilize, manage, and utilize climate finance at both national and county levels. Existing national and county climate funding mechanisms and opportunities provide a critical foundation for addressing the growing impacts of climate change while supporting inclusive, locally led adaptation. These mechanisms are essential for building resilience among vulnerable populations, particularly women, youth, and Persons Abled Differently (PAD), and for safeguarding vital ecosystems across coastal counties such as Kwale and Kilifi.

At the global level, Kenya benefits from several major funding mechanisms including the Green Climate Fund (GCF), Global Environment Facility (GEF), Adaptation Fund (AF), and Climate Investment Funds (CIFs). These provide grants, concessional loans, and co-financing for interventions in renewable energy, sustainable agriculture, ecosystem restoration, and community resilience. Projects such as the Financing Locally-Led Climate Action (FLLoCA) and Kenya Marine and Fisheries Sustainable Development (KEMFSED) demonstrate effective partnerships between international financiers, national institutions, and local actors.

At the national level, climate finance is guided by robust policy and legal instruments, including the National Adaptation Plan (2015-2030), Climate Change (Amendment) Act, 2023, the National Climate Change Action Plan (2023–2027), and the National Treasury's Climate Finance Policy (2020). Key institutions such as the National Climate Change Fund (NCCF), Climate Finance and Green Economy Unit (CFGEU), National Environment Trust Fund (NETFUND), and the Kenya Climate Innovation Center (KCIC) coordinate mobilization, management, and tracking of financial resources. These frameworks enhance Kenya's ability to access global funds, integrate climate priorities into national budgets, and promote private-sector investment through mechanisms such as green bonds and blended finance models.

At the county level, devolved climate finance is operationalized through County Climate Change Funds (CCCFs) and county-specific Climate Change Action Plans (2023–2027). In both Kwale and Kilifi, these funds ensure that resources reach community-driven initiatives that address local priorities such as water security, coastal ecosystem restoration, and climate-smart agriculture. Counties allocate a portion of their development budgets to climate actions, supported by complementary programs such as the FLLoCA and the County Climate Resilient Investment (CCCRI) grants.

Existing funding mechanisms thus offer strong opportunities to strengthen Kenya's climate response architecture. To maximize their impact, continuous capacity building, transparent fund management, inter-institutional coordination, and enhanced private-sector engagement are required. By aligning global, national, and county financing systems with locally defined adaptation priorities, Kenya can accelerate progress toward a low-carbon, climate-resilient, and sustainable livelihoods.

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Acronyms

ADB	Asian Development Bank
AF	Adaptation Fund
AfDB	African Development Bank
AIIB	Asian Infrastructure Investment Bank
ASALs	Arid and semi-arid lands
CCCF	County Climate Change Fund
CCCRI	County Climate Change Resilient Investment
CCIS	County Climate Institutional Support
CCRI	Climate Resilience Investment
CFU	Climate Finance Unit
CIDPs	County Integrated Development Plans
CIFs	Climate Investment Funds
COP	Conference of the Parties
CSOs	Civil Society Organizations
EIB	European Investment Bank
ETF	Enhanced Transparency Framework
FAO	Food and Agriculture Organization
FIP	Forest Investment Program
FLLoCA	Financing Locally-Led Climate Action
GCF	Green Climate Fund
GDP	Gross Domestic Product
GEF	Global Environment Facility
GEFIM	Green Enterprise Financing Mechanism
GIZ	Deutsche Gesellschaft fuer Internationale Zusammenarbeit
IDB	Inter-American Development Bank
IUCN	International Union for Conservation of Nature
KCCCAP	Kilifi County Climate Change Action Plan
KCCCAP	Kwale County Climate Change Action Plan
KCIC	Kenya Climate Innovation Center
KCSAP	Kenya Climate Smart Agriculture Project
KCSAS	Kenya Climate-Smart Agriculture Strategy Financing Mechanism
KEMFSED	Kenya Marine and Fisheries Sustainable Development
KFS	Kenya Forest Service
KWCA	Kenya Wildlife Conservation Association
KWS	Kenya Wildlife Service
KWSCRP	Kenya Water Security and Climate Resilience Project
LDCF	Least Developed Countries Fund
LECRD	Low Emission and Climate Resilient Development
MSEs	Micro and Small Enterprises
NCCF	National Climate Change Fund
NDC	Nationally Determined Contribution
NEMA	National Environment Management Authority
NETFUND	National Environment Trust Fund
PFM	Public Finance Management
PPPs	Public–Private Partnerships
SCCF	Special Climate Change Fund

SCF	Standing Committee on Finance
SDG	Sustainable Development Goal
SGP	Small Grants Programme
SREP	Scaling Up Renewable Energy Program
TRI	The Restoration Initiative
UNDP	United Nations Development Programme
UNEP	United Nations Environment Programme
UNFCCC	United Nations Framework Convention on Climate Change
WRTI	Wildlife Research Institute
WSDP	Water & Sanitation Development Project

1 Introduction

Plan international Kenya is implementing the Conservation and Sustainable Management of Marine and Coastal Ecosystems (COSME) Project in Kwale and Kilifi Counties. The two counties are endowed with rich coastal and marine ecosystems ranging from terrestrial forests, mangroves, seagrass beds, coral reefs, marine species and open sea marine resources among others. These natural assets not only underpin livelihoods but also drive key economic sectors including tourism, agriculture, fisheries, and maritime trade. Despite their economic and ecological value, the 2021 country and county climate risk profiles highlight that these resources are increasingly under threat from climate change risks arising from hazards such as drought, flooding, sea level rise, ocean acidification, rising temperatures, and forest fires. The consequences of these risks exacerbate underlying socio-economic vulnerabilities, with women, youth, and Persons Abled Differently (PAD) experiencing disproportionate impacts due to structural inequalities. Loss of income, displacement, reduced productivity, and damage to infrastructure and markets are already affecting community well-being and resilience in the region.

In response, the COSME project aims to enhance women-led, climate-resilient livelihoods through ecosystem-based approaches. Hence, to support project implementation requires the development of Gender Responsive Adaptation and Preparedness Plans (GRAPPs) that integrate climate risk diagnostics with locally appropriate adaptation pathways. This report is among one of the GRAPPs deliverables requiring the mapping of existing national and county climate, risk reduction and preparedness funding mechanisms and opportunities. It was prepared through literature review of policy, legal and regulatory climate financing mechanisms at the global, national and county levels, findings from Tool 9 of the Participatory Climate Risk and Vulnerability Assessment (PCVA) (Venn Diagram) conducted in 28 villages across Kwale and Kilifi counties as well as Focus Group Discussions (FGDs) held at the ward level.

2 Policy and Legal Frameworks for Climate Finance

Effective policy and legal framework on climate finance is essential for guiding how governments mobilize, allocate, and manage financial resources to address the impacts of climate change. At the international level, such frameworks establish the institutional, regulatory, and coordination mechanisms that enable nations to access both domestic and global sources of climate finance to support adaptation and mitigation initiatives. They promote the integration of climate-related funding into national development, budgeting, and implementation processes, ensuring transparency, accountability, and efficient use of resources. These frameworks also define the roles and responsibilities of key actors, including governments, international organizations, the private sector, financial institutions, and civil society, in mobilizing and managing climate finance, while fostering international cooperation and equitable access to funding. By aligning financial flows with the goals of the Paris Agreement and the United Nations Framework Convention on Climate Change (UNFCCC), they contribute to a sustainable, low-carbon, and climate-resilient global economy. In Kenya, these frameworks similarly support access to both domestic and international climate finance, mainstreaming climate considerations into national and county planning, budgeting, and implementation, and defining clear roles for government institutions, the private sector, development partners, and communities in driving climate action.

2.1 Policy Framework

2.1.1 The United Nations Framework Convention on Climate Change (UNFCCC)

The UNFCC establishes a global system for mobilizing and channeling financial resources to help developing countries address climate change through mitigation, adaptation, technology transfer,

and capacity-building. Guided by the principle of common but differentiated responsibilities and respective capabilities, it requires developed countries to take the lead in providing predictable and adequate financial support. The framework operates through key financial mechanisms such as the Green Climate Fund (GCF), Global Environment Facility (GEF), Adaptation Fund (AF), Least Developed Countries Fund (LDCF), and Special Climate Change Fund (SCCF). Oversight is provided by the Conference of the Parties (COP) and the Standing Committee on Finance (SCF), which monitor and assess global climate finance flows. Under the Paris Agreement, particularly Articles 2 and 9, all financial flows are to be aligned with low-emission, climate-resilient development pathways, while ensuring transparency and accountability through the Enhanced Transparency Framework (ETF).

2.1.2 National Adaptation Plan (2015-2030)

The National Adaptation Plan (2015–2030) provides Kenya's strategic framework for building resilience and adaptive capacity across all sectors. It prioritizes the mobilization and coordination of climate finance as a key enabler of effective adaptation, calling for the integration of climate funding into national and county budgets. The plan emphasizes strengthening institutional capacity within the National Treasury, Climate Change Secretariat, and County Governments to access and manage resources from both domestic and international sources such as the Green Climate Fund (GCF), Global Environment Facility (GEF), and Adaptation Fund (AF). It also promotes innovative financing models, including public–private partnerships, green bonds, and County Climate Change Funds (CCCFs), to ensure predictable, transparent, and inclusive financing that supports locally led and gender-responsive adaptation initiatives.

2.1.3 Sessional Paper No. 3 of The National Policy on Climate Finance (2017)

The National Policy on Climate Finance (2017) provides a legal and institutional framework to guide and promote: climate finance flows, tracking of climate finance, engagement with county governments, private sector participation, technology transfer, and equitable benefit sharing from climate change interventions in Kenya.

2.1.4 National Climate Change Action Plan, 2023-2027

National Climate Change Action Plan, 2023-2027 is the third five-year plan that presents the detailed priority actions that Kenya will embark on to address climate change in the medium-term planning period and contribute to the achievement of our Nationally Determined Contribution (NDC) under the Paris Agreement. Under Section 7.3 (Climate Finance), the plan outlines strategies to enhance the mobilization, coordination, and effective utilization of both domestic and international financial resources for climate action. The plan calls for increased national and county budget allocations for climate-related programs and the promotion of Public–Private Partnerships (PPPs) to attract investment in green and resilient infrastructure; focuses on strengthening Kenya's capacity to access and manage international climate funds such as the Green Climate Fund (GCF), the Adaptation Fund, and carbon markets, while ensuring compliance with international frameworks like the Paris Agreement and the UNFCCC; emphasizes integrating climate finance tracking into the Public Finance Management (PFM) systems to improve transparency, accountability, and reporting of climate expenditures. Additionally, Annex 1 of the plan identifies specific actions such as operationalizing the National Climate Change Fund (NCCF) and supporting the establishment of County Climate Change Funds (CCCFs) to strengthen climate action at the local level.

2.1.5 The National Treasury's Climate Finance Policy (2020)

The National Treasury's Climate Finance Policy (2020) outlines Kenya's approach to mobilizing, coordinating, tracking, and reporting climate finance across all levels of government. As stated in Section 3.0, the policy's main objective is to guide the effective management of financial resources for climate change mitigation and adaptation by integrating them into national and county planning and budgeting systems. Section 4 provides for the establishment of a Climate Finance Unit (CFU) within the National Treasury to oversee coordination, reporting, and monitoring of climate-related funds across ministries, departments, agencies, and county governments. In Section 5.0, the policy calls for aligning Public Finance Management (PFM) systems with climate finance tracking and reporting mechanisms to enhance transparency and accountability in fund utilization. Furthermore, Section 6.0 promotes blended finance approaches, encouraging collaboration between the public and private sectors, development partners, and financial institutions to attract investment in green and climate-resilient projects. Overall, the policy strengthens Kenya's institutional capacity to access, manage, and utilize climate finance effectively in line with its national development and sustainability goals.

2.1.6 The National Environment Policy, 2013

Kenya has a National Environment Policy prepared and approved in 2013 by the Ministry of Environment, Water and Natural Resources. Chapter 5 of the policy elaborates on environmental stewardship, specifically mandating the government to put in place a climate financing mechanism that will help the country take advantage of new and emerging climate change funds and also include innovative ways to fund climate change actions domestically through committing a percentage of the GDP.

2.1.7 County Integrated Development Plans (CIDPs)

County Integrated Development Plans (CIDPs) present an opportunity to identify climate change priorities and actions at the county level, and to integrate these actions in programmes and initiatives. Under the County Governments Act (2012), CIDPs must have clear outcomes, monitoring and evaluation, and reporting mechanisms. In addition, CIDPs must set out a resource mobilization and management structure. The mandatory requirement for development of sectoral plans allows room for detailed analysis of climate change priorities and investment needs at the county level.

2.1.8 Kilifi County Climate Change Action Plan (KCCCAP) 2023-2027

Kilifi County Climate Change Action Plan (2023-2027) sets out priority actions for mobilizing, managing and tracking finance for climate mitigation and adaptation. It proposes the establishment of a County Climate Change Fund to channel resources for priority projects, to be overseen by the County Steering Climate Change Committee. The plan emphasizes developing a climate finance and resource mobilization strategy, improving access modalities, including domestic budget allocations, grants, loans, and private-sector investments, and ensuring that finance reaches vulnerable communities and is tracked for results. The plan also calls for mainstreaming climate change into all departmental budgets and planning processes, and for building the capacity of the private sector to develop bankable projects and access green finance.

2.1.9 Kilifi County Energy Plan 2025-2034

Kilifi County Energy Plan 2025-2034 guides the Kilifi County Government in developing and implementing energy programmes that are in line with the National Government priority, which

includes the Sustainable Development Goal (SDG) 7. The plan emphasizes unlocking climate finance to develop the bioenergy ecosystem at different stages of the value chain, as a desired outcome towards mobilizing financial resources for local bioenergy development.

2.1.10 Kwale County Climate Change Action Plan (KCCCAP) 2023-2027

Kwale County Climate Action Plan (2023-2027) provides a comprehensive framework for mobilizing and managing climate finance to support the county's adaptation and mitigation initiatives. The plan emphasizes the establishment of a County Climate Change Fund (CCCF) as the primary mechanism for channeling resources to priority climate actions. It outlines clear allocation guidelines, 70% of the fund for ward-level projects, 20% for county-level programs, and 10% for administration and coordination costs, ensuring that resources reach community driven adaptation efforts.

2.2 Legal Framework

2.2.1 The Constitution of Kenya, 2010

The Constitution of Kenya 2010 is the supreme law of the land. Chapter I, Article 10 enshrines sustainable development, equity, and public participation as national values and principles of governance, key pillars for climate finance accountability and inclusiveness. Devolution under Chapter 11 empowers counties to plan and budget for climate actions, ensuring that local community's access and benefit from climate related financing.

2.2.2 The Climate Change (Amendment) Act, 2023

The Climate Change (Amendment) Act, 2023 strengthens Kenya's legal and institutional framework for climate finance by enhancing mechanisms for mobilizing, coordinating, and managing resources to support climate change mitigation and adaptation. The Act amends the Climate Change Act, 2016 to align with Kenya's obligations under the Paris Agreement, emphasizing the establishment and operationalization of the National Climate Change Fund (NCCF) as the primary vehicle for financing climate actions at both national and county levels. The Fund is designed to draw resources from government budget allocations, development partners, private sector investments, and international climate finance institutions. The Act mandates the National Treasury to develop systems for tracking, reporting, and verifying climate finance flows to ensure transparency, accountability, and effective resource utilization. It also promotes Public–Private Partnerships (PPPs) and the integration of climate finance into national and county planning and budgeting frameworks, thereby strengthening Kenya's capacity to mobilize and utilize climate resources for a sustainable, low-carbon, and climate-resilient economy. Article 3 of the Act provide guidance in the development and implementation of carbon markets and nonmarket approaches in compliance with international obligations.

2.2.3 Kilifi County Climate Change Act, 2021

Kilifi County Climate Change Act, 2021 is an Act of the County Assembly of Kilifi to put in place the framework and mechanisms for mobilization and facilitation of communities and other stakeholders in the county to respond effectively to climate change through appropriate adaptation and mitigation measures and actions and for connected purposes. Part II of the Act elaborates the roles of County Steering Committee; coordinate formulation and monitor implementation of the County Climate Change Action Plan, County Climate Finance Framework and any other county climate change policies, plans and strategies; and supervise the administration of the County Climate Change Fund.

2.2.4 Kwale County Climate Change Act, 2022

Kwale County Climate Change Act, 2022 provides a strong legal framework for mobilizing, managing and utilizing climate finance to support sustainable development and climate resilience in the county. Part IV (Sections 23–29) of the Act establishes the Kwale County Climate Change Fund (CCCF) as the main financial mechanism for financing climate change mitigation and adaptation programs.

3 National and county climate, risk reduction and preparedness funding mechanisms

Climate change poses a profound and escalating threat to global development, ecosystems, and human well-being, demanding coordinated and substantial financial investments to support both mitigation and adaptation initiatives. Climate change financing mechanisms refer to the frameworks, institutions, instruments, and processes established to mobilize, manage, and channel financial resources toward combating climate change. These mechanisms play a pivotal role in ensuring that adequate and sustainable funding flows from multiple sources international, national, public, and private entities toward activities that enhance resilience to climate change impacts. By bridging the gap between climate policy commitments and on -ground implementation, financial mechanisms enable countries, particularly developing and climate-vulnerable nations, to access the resources needed to transition to low-carbon economies, protect livelihoods, and strengthen adaptive capacities. In doing so, they serve not only as vehicles for financing climate action but also as catalysts for sustainable development and global environmental stability. The following section focuses on climate change financing mechanism at global, national and county levels.

3.1 Global Financing Mechanism

The global response to climate change acknowledges that financial support is the cornerstone of effective climate policy implementation and a key enabler of sustainable development. Under the United Nations Framework Convention on Climate Change (UNFCCC), and further reinforced through the Kyoto Protocol and the Paris Agreement, developed countries have committed to mobilizing and providing financial resources to assist developing nations in achieving their mitigation and adaptation objectives. This commitment has resulted in the establishment of an elaborate climate finance architecture, comprising a network of funds, institutions, and instruments designed to facilitate the mobilization, management, and delivery of resources to climate-vulnerable countries. Through these mechanisms, financial flows are directed toward activities that reduce greenhouse gas emissions, build resilience, and promote sustainable, climate-resilient development.

At the centre of this architecture are key multilateral financial mechanisms such as the Green Climate Fund (GCF), the Global Environment Facility (GEF), the Adaptation Fund (AF), and the Climate Investment Funds (CIFs). These institutions provide a mix of grants, concessional loans, guarantees, and technical assistance to support a wide range of climate-related initiatives, including renewable energy deployment, forest conservation, ecosystem restoration, sustainable agriculture, and community resilience as well as livelihood programs. Complementing these efforts are international development institution such as banks, bilateral donors, and private sector actors, who increasingly contribute to scaling up climate finance through innovative financing models such as green bonds, carbon markets, results-based financing, and blended finance approaches. Together, these mechanisms form a global financial ecosystem that underpins international cooperation in addressing climate change. Table 1 outlines key global financial climate mechanisms, their main focus areas, and support extended to Kenya under each framework.

Table 1: Global climate change financing mechanism

Mechanism/Institution	Purpose/Focus area	Type of supports	Support / Projects in Kenya	Implementing partners
Green Climate Fund (GCF)	Supports low-emission and climate-resilient development through devolved and locally led adaptation, renewable energy, and water management.	Grants, co-financing concessional financing	• Transforming Livelihoods through Climate Resilient, Low Carbon, Sustainable Agricultural Value Chains in the Lake Region Economic Bloc (Gender assessment and action plan) • Enhancing community resilience and water security in the Upper Athi River Catchment Area, Kenya • TWENDE: Towards Ending Drought Emergencies (Ecosystem-Based Adaptation in Kenya's ASAL rangelands) • Promotion of Climate-Friendly Cooking: Kenya and Senegal (Gender assessment and action plan) • KawiSafi Ventures Fund • Acumen Resilient Agriculture Fund (ARAF) (multi-country, includes Kenya) • Universal Green Energy Access Programme (UGEAP) • Climate Investor One	**Funding partner:** Green Climate Fund **Implementing partner**: National Environment Management Authority (NEMA), International Union for Conservation of Nature (IUCN), Food and Agriculture Organization (FAO), Deutsche Gesellschaft fuer Internationale Zusammenarbeit (GIZ), Acumen INC, National Treasury, World Bank, Development agencies, Partner groups such as GIZ, Energy4Impact, County Governments.

Mechanism/Institution	Purpose/Focus area	Type of supports	Support / Projects in Kenya	Implementing partners
			• Multiple GCF multi-country investment funds • Towards Developing Renewable Energy in Kilifi County for Environmental Conservation and Improved Standards of Living through partnership with Energy4Impact • Green Mini-Grids Project – provides clean energy access to off-grid rural areas.	
Global Environment Facility (GEF). Hosts Special Climate Change Fund (SCCF) and Least Developed Countries Fund (LDCF)	• Promotes biodiversity protection, land restoration, and ecosystem-based adaptation in priority landscapes. • Enhancing drought resilience and early warning systems in arid and semi-arid lands (ASALs).	Grants, co-financing	• Tana River National Primate Reserve Conservation Project • The Restoration Initiative (TRI) — Tana River Delta / "Enhancing integrated natural resource management • Lake Baringo — Community-based Integrated Land and Water Management Project • Strengthening forest management for improved biodiversity conservation and climate resilience in the Southern rangelands of Kenya • Kenya GWP Child Project — Wildlife / Human–Wildlife	**Funding partner:** World Bank, Adaptation Fund **Implementing partner**: United Nations Environment Programme (UNEP), United Nations Development Programme (UNDP), NEMA, Ministry Tourism and Wildlife, Ministry of Environment, Climate Change & Forestry, Conservation groups and agencies, Kenya Wildlife Service (KWS), Kenya Wildlife Conservation Association (KWCA),Wildlife Research Institute (WRTI) and Partner groups

Mechanism/Institution	Purpose/Focus area	Type of supports	Support / Projects in Kenya	Implementing partners
			Conflict & Community Strengthening • Lake Naivasha Basin Ecosystem Based Management Project • GEF Small Grants Programme (SGP) – supports community-based adaptation and conservation in counties like Laikipia, Kajiado, and Kwale. • Biodiversity and Sustainable Land Management in Tsavo and Tana Delta. • Kenya Child Project under the Global Wildlife Programme – tackling human-wildlife conflict.	
Adaptation Fund (AF)	Strengthens resilience of coastal communities to sea-level rise and erosion through ecosystem restoration and livelihoods diversification.	Grant	• Integrated Programme to Build Resilience to Climate Change in Coastal Zones – mangrove restoration, shoreline stabilization, and climate-resilient fisheries in Kilifi, Mombasa, and Kwale.	**Funding partner:** Adaptation Fund **Implementing partner**: NEMA (National Implementing Entity), Kenya Forestry Research Institute (KEFRI), Coast Development Agency (CDA), County Governments of Kilifi, Kwale, Mombasa, Coastal Non-Governmental Organizations and

Mechanism/Institution	Purpose/Focus area	Type of supports	Support / Projects in Kenya	Implementing partners
				Community Based Organization (CBO) Network**.**
Climate Investment Funds (CIFs)	Accelerating renewable energy expansion and forest ecosystem protection.	Grants, concessional loans, blended financing	• Scaling Up Renewable Energy Program (SREP*)* – supports geothermal and solar mini-grids in Baringo, Turkana, and Marsabit with focus gender mainstreaming and equity). • Forest Investment Program (FIP) – enhances forest conservation and community forest management in the Mau Forest Complex.	**Funding partner:** CIF **Implementing partner**: World Bank, African Development Bank (AfDB), Ministry of Energy, Kenya Forest Service (KFS).
World Bank Climate Fund	Enhances climate resilience and sustainable livelihoods, infrastructure support, water security, and devolved climate governance.	Loans, grants, Co financing	• Kenya Water & Sanitation Development Project (WSDP) – "Women in Water" initiative • Kenya Social & Economic Inclusion Project Phase 2 with a focus on vulnerable groups including women • Financing sustainable livelihood and capacity programs i.e. Kenya Marine Fisheries and Socio-Economic Development (KEMFSED) and Financing Locally Led Climate Action (FLLoCA) • Kenya Climate Smart Agriculture Project (KCSAP) – supports climate-resilient farming and irrigation in ASAL counties. • Kenya Water Security and Climate Resilience Project (KWSCRP).	**Funding partners:** World Bank, CIFs **Implementing partners:** Multilateral Development Banks (MDB), National Ministries and Institution, County Governments, NGOs, etc.

Mechanism/Institution	Purpose/Focus area	Type of supports	Support / Projects in Kenya	Implementing partners
Multilateral Development Banks (MDBs)	Finances large-scale, infrastructure i.e. renewable energy, and environmental restoration.	Loans, grants, blended finance	• Kenya Water Security and Climate Resilience Project • Rural Livelihoods Adaptation to Climate Change in the Horn of Africa • Low Emission and Climate Resilient Development (LECRD) Project • Green Zone Development Support project • Menengai Geothermal Project – *renewable energy expansion*. • Nairobi River Basin Rehabilitation Project • Sustainable Urban Mobility Program	**Funding partners:** African Development Bank (AfDB), Asian Development Bank (ADB), European Investment Bank (EIB), Asian Infrastructure Investment Bank(AIIB), Inter-American Development Bank (IDB), **Implementing partners:** Applicable Ministries (Energy, Ministry of Transport & Infrastructure), Kenya Forest Service (KFS), NGOs Financing groups
Development partners & Private Climate Finance	Mobilizes private capital for renewable energy, climate smart infrastructure, sustainable developments, and carbon projects	Blended finance, bonds, grants	• Kenya Sovereign Green Bond (2019) – financed green infrastructure. • Private sector green loans for SMEs. • Carbon offset and blue carbon projects led by community groups. • Carbon offset projects in community forest	**Funding partners:** Private entities (Vlinder, EcoSecurities), ADB, World Bank, FDB Bank, EU, GIZ, Carbon Africa **Implementing partners:** Bilateral partners Government institutions, NGOs, Conservation groups
Bilateral Donor Programs	Supports climate-smart livelihoods, resilience, and local governance.	Grants, technical support	• Strengthening Prevention and Response to Gender Based Violence (Kenya –Finland) • United Stated Aid Direct USAID SEED Program – coastal resilience and fisheries management. • GIZ Climate Smart Agriculture Programme – ASAL counties.	**Funding partners:** Foreign, Commonwealth & Development Office (FCDO), United Kingdom Aid Direct (UKAID), United States Aid Direct (USAID), Japan International Cooperation Agency (JICA), North American Aerospace

Mechanism/Institution	Purpose/Focus area	Type of supports	Support / Projects in Kenya	Implementing partners
			• Foreign, Commonwealth & Development Office (FCDO) Climate Resilient Growth Program – policy and planning support.	Defense Command (NORAD), Government (Australia, Finland, UK, Sweden, and Switzerland) **Implementing partners:** County Governments**,** Ministry of Agriculture**,** Coastal NGOs (Coastal and Marine Resources Development (COMRED), Nature Kenya)

3.2 National Financing Mechanism

Climate change presents significant challenges to Kenya's sustainable development, affecting key sectors such as agriculture, water, energy, livestock as well as coastal ecosystems i.e fisheries. To effectively address these challenges, Kenya has established national climate financing mechanisms aimed at mobilizing, managing, and coordinating financial resources for climate action. These mechanisms form part of a broader effort to integrate climate change into the country's planning and budgeting systems, ensuring that financial flows support adaptation, mitigation, and resilience-building at both national and county levels.

National climate financing mechanisms encompasses institutional and policy frameworks that enable the country to access, allocate, and monitor climate-related funds from diverse sources. These include domestic budgetary allocations, international climate funds, bilateral and multilateral development partners, and private sector investments. In Kenya, the Climate Change Act (Amendment) of 2023, the National Climate Change Action Plan (NCCAP) (2023-2027), National Adaptation Plan (NAP) (2015-2030), and the Nationally Determined Contribution (NDC) under the Paris Agreement provide the legal and policy foundations for climate finance governance. Together, these instruments ensure that financial resources are aligned with Kenya's development priorities and climate commitments.

At the national level, several institutions play a central role in coordinating climate finance. The National Treasury, through the Climate Finance & Green Economy Unit (CFGEU), leads in mobilizing and managing funds from international climate finance entities such as the Green Climate Fund (GCF) and the Global Environment Facility (GEF). The National Climate Change Fund (NCCF), established under the Climate Change Act of 2016, serves as a key vehicle for channeling domestic and external resources toward priority climate initiatives. Moreover, the National Environment Trust Fund (NETFUND) supports environmental conservation and green enterprise development, while the Kenya Climate Innovation Center (KCIC) facilitates private sector investment in clean technologies and sustainable enterprises.

Collectively, Kenya's national climate financing mechanisms demonstrate the country's commitment to building a robust, transparent, and inclusive climate finance system. By integrating climate considerations into economic planning and leveraging both domestic and international partnerships, Kenya is positioning itself to achieve a low-carbon, climate-resilient future while safeguarding the livelihoods and ecosystems most at risk from climate change. Table 2 presents Kenya's national climate finance mechanisms, outlining the key institutions, focus areas, partner's and projects designed to mobilize and manage climate-related funding at the domestic level.

Table 2: National climate change financing mechanism

Mechanism/Institution	Description /Mandate	Focus area	Partners/Funding source	Projects
National Climate Change Fund (NCCF)	A public financing mechanism established under the Climate Change Act (2016) to mobilize, manage, and disburse climate finance at national and county levels.	Supports climate adaptation, mitigation, and resilience initiatives; focuses on community-driven projects and vulnerable ecosystems across the county.	Government of Kenya (GoK); contributions from development partners and private sector.	Supports pilot adaptation including gender- and youth-responsive livelihood resilience programmes initiatives across counties; alignment with National Climate Change Action Plan (NCCAP).
National Treasury (Climate Finance & Green Economy Unit)	Coordinates mobilization and management of climate finance and engagement with international financial institutions	Strengthens Kenya's readiness to access and manage global climate funds as well as develop green fiscal policies	Global Climate Funds (e.g., GCF, GEF), bilateral donors (UK, Germany, European Union (EU)).	Integrates climate finance into development and national budget system
Kenya Climate-Smart Agriculture Strategy (KCSAS) Financing Mechanism	Mobilizes and coordinates financing for climate-resilient agricultural systems under the Ministry of Agriculture and Livestock Development.	Climate-smart agriculture, drought resilience, water-efficient farming.	GCF, International Fund for Agricultural Development (IFAD), World Bank, and GoK.	Funds projects like the Kenya Climate-Smart Agriculture Project (KCSAP) and gender mainstreaming across CSA investments in 24 counties (including Kilifi).
National Environment Trust Fund (NETFUND)	A state corporation that provides grants through Green Enterprise Financing Mechanism (GEFIM) and capacity building for environmental and climate-related projects	Renewable energy, waste management, biodiversity conservation, green enterprise development.	GoK, GEF, bilateral donors, private sector and Educational Institutions	Implements Nature Based Solutions to enhance climate resilience, green innovations and SME grants in several counties through Green Enterprise Financing Mechanism (GEFIM)
Kenya Climate Innovation Center (KCIC)	A public-private platform supporting climate based technology enterprises and innovation	Renewable energy, water management, agribusiness, waste recycling.	World Bank, InfoDev. Climate, EU, Autodesk Foundation, Danish International Development Agency (DANIDA), UKAID	Supports start-ups and SMEs such as green biz initiatives targeting youth and women as well advancing climate solutions nationwide,

Mechanism/Institution	Description /Mandate	Focus area	Partners/Funding source	Projects
Kenya Green Bond Program	National initiative promoting green investment through capital markets	Financing sustainable infrastructure and renewable energy.	Private sector investors, Nairobi Securities Exchange, IFC, CBK.	Support climate resilient infrastructure i.e student housing project with energy-efficient designs
National Drought Management Authority (National Drought Emergency Fund)	Supports drought hazards preparedness and climate resilience in arid and semi-arid lands (ASALs)	Climate adaptation, drought disaster management, early warning systems.	Adaptation Consortium Department for International Development (DFID), (DANIDA),), GoK.	Implements ASAL resilience and early response projects nationally, including Coast region.

3.3 County Climate Change Financing Mechanisms

Kwale and Kilifi counties have established devolved climate change financing mechanisms in alignment with the Kenya National Climate Change Act, 2023 (Table 3 & 4), which requires counties to develop climate action plans and integrate them into their development frameworks. Both counties have formulated climate change action plans for the period 2022-2027, prioritizing adaptation, mitigation, and enabling interventions across various sectors vulnerable to climate change impacts.

A key feature of these mechanisms is the County Climate Change Fund (CCCF), a pioneering finance instrument designed to channel climate finance directly to county governments and local communities. The CCCF facilitates climate change adaptation and resilience-building by mainstreaming climate considerations into county planning and budgeting processes. Counties typically allocate at least 1-2% of their annual development budgets to this fund. The resources support critical activities such as enhancing early warning systems, water harvesting initiatives, climate information services, and increasing resilience in the various sectors. Through collaborative governance, the CCCF empowers counties and communities to prioritize climate investments that strengthen livelihoods and promote sustainable, climate-resilient development.

Table 3: Climate change financing mechanisms in Kwale County

Financing Mechanism	Purpose	Source of Funding	Focal Areas
Kwale County Climate Change Fund	Provides dedicated financial resources for implementing climate change mitigation and adaptation measures in the County	County annual development budget, private sector contributions	• Agroforestry and tree planting campaigns • Water resource management • Mangrove and Coastal Ecosystem Restoration • Climate smart agriculture
Financing Locally-Led Climate Action (FLLoCA) Institutional Grant	Supports locally-led climate adaptation and resilience actions through institutional grants such as County Climate Institutional Support (CCIS) grant and the County Climate Resilience Investment (CCRI) Grant	Donor funding supported by World Bank and the National Government	• Community-based climate adaptation i.e. Participatory Climate Risk Assessment • Capacity building, ecosystem restoration
Kwale County Biashara Revolving Fund	Revolving fund supporting Micro and Small Enterprises (MSEs) including climate-smart businesses	Grants, loan repayments	• Support small and medium-sized enterprises (SMEs) through job creation, and poverty alleviation in the county
County Climate Change Resilient Investment (CCCRI)	Investment fund focused on building climate resilience in	County budget, donor funds	• Resilience building in agricultural productivity,

Financing Mechanism	Purpose	Source of Funding	Focal Areas
	county sectors through targeted projects.		• Water resource management • Ecosystem conservation
Community grant funds (Kenya Marine and Fisheries Sustainable Development (KEMFSED) project)	Supports efforts to leverage emerging opportunities in the Blue Economy by improving the management of priority fisheries and increasing access to complementary livelihoods in coastal communities.	World Bank, County contributions	• Strengthen Capacity in Governance and Management of Marine Fisheries • Enhancing livelihoods in the coastal community through fish farming, sea weed farming and eco-tourism initiatives.

Table 4: Climate Change financing mechanisms in Kilifi County

Financing Mechanism	Purpose	Source of Funding	Focal Areas
Kilifi County Climate Change Fund	Pioneers locally led adaptation by empowering communities to identify, prioritize and finance climate-resilient projects.	Annual county development budget	Climate mitigation and adaptation projects focusing on sustainable agriculture, ecosystem restoration and community resilience building
Financing Locally-Led Climate Action (FLLoCA) Institutional Grant	Supports locally-led climate adaptation and resilience actions through institutional grants such as County Climate Institutional Support (CCIS) grant and the County Climate Resilience Investment (CCRI) Grant	Donor funding supported World Bank and the National Government	• Community-based climate adaptation • Capacity building, ecosystem restoration
County Climate Change Action Plan	Strategic plan guiding climate change programs and projects by government and non-state actors	County funds, government agencies, and Civil Society Organizations (CSOs)	Implementation mitigation and adaptation actions that enhance climate resilience

4 National and county climate, risk reduction and preparedness funding opportunities

Kenya has significant opportunities to advance climate change adaptation through strategic investments and climate finance. In water and drought management, funds can support rainwater harvesting, solar-powered boreholes, and reservoirs, while climate-smart agriculture can benefit from drought-tolerant crops, insurance schemes, and strengthened value chains. Flood management initiatives can leverage finance to build resilient infrastructure and early warning systems through the Kenya Urban Roads Authority, Kenya Rural Roads Authority, and Kenya Meteorological Department. Along coastal and marine ecosystems, climate finance can promote mangrove restoration, seaweed farming, and sustainable fisheries. Efforts to address strong winds and environmental degradation offer green jobs and landscape restoration opportunities through the Kenya Forest Service, Community Forest Associations, and the Green Belt Movement, supported by the Green Climate Fund and Adaptation Fund. Similarly, human-wildlife conflict can be mitigated with community-based interventions led by the Kenya Wildlife Service, World Wide Fund for Nature–Kenya, and Nature Kenya, enhancing livelihoods while reducing conflict.

5 Conclusion

The COSME Project in Kwale and Kilifi Counties represents a practical demonstration of Kenya's commitment to advancing climate-resilient development at the community level. By promoting gender-responsive and ecosystem-based adaptation strategies, the project strengthens the resilience of coastal and marine ecosystems while empowering women, youth, and Persons Abled Differently (PAD) to lead in climate-resilient livelihood development. The development of Gender Responsive Adaptation and Preparedness Plans (GRAPPs) under this project provides a strategic pathway for linking national climate finance priorities with local adaptation actions, ensuring that resources are effectively directed to address the needs of vulnerable coastal communities and ecosystems.

Effective and inclusive climate financing remains central to sustaining such locally led adaptation efforts. By aligning local interventions with national climate priorities and financing frameworks, projects like COSME help translate high-level commitments into tangible, community-driven outcomes. Strengthening access to and management of climate finance not only enhances local adaptive capacity but also ensures that investments contribute to long-term resilience, gender equality, and sustainable ecosystem management. In this way, climate finance becomes a catalyst for inclusive development, bridging the gap between policy intent and real-world impact along Kenya's coastal landscapes.